The following presents our operating income and operating margin, in each case excluding the impact of surcharge on net sales and special items. We present and discuss these financial measures because management believes removing the impact of these items provides a more consistent and meaningful basis for comparing results of operations from period to period. See the section "Non-GAAP Financial Measures" below for further discussion of these financial measures.

	Fiscal Year	
($ in millions)	**2019**	**2018**
Net sales	$ 2,380.2	$ 2,157.7
Less: surcharge revenue	438.1	365.4
Net sales excluding surcharge revenue	$ 1,942.1	$ 1,792.3
Operating income	$ 241.4	$ 189.3
Special items:		
Acquisition-related costs	1.2	—
Adjusted operating income excluding special items	$ 242.6	$ 189.3
Operating margin	10.1%	8.8%
Adjusted operating margin excluding surcharge revenue and special items	12.5%	10.6%

Interest Expense

Fiscal year 2019 interest expense was $26.0 million compared to $28.3 million in fiscal year 2018. We have used interest rate swaps to achieve a level of floating rate debt to fixed rate debt. Interest expense for fiscal year 2019 includes net losses from interest rate swaps of $0.2 million compared with $0.4 million of net gains from interest rate swaps for fiscal year 2018. Capitalized interest reduced interest expense by $5.1 million for fiscal year 2019 compared to $2.8 million in fiscal year 2018.

Other Income (Expense), Net

Other income for fiscal year 2019 was $0.6 million as compared with other expense of $0.8 million a year ago.

Income Taxes

Our effective tax rate (income tax expense (benefit) as a percent of income before taxes) for fiscal year 2019 was 22.7 percent as compared to negative 17.7 percent in fiscal year 2018. Excluding the discrete tax benefits recorded in connection with U.S. Tax reform of $68.3 million that are discussed below, our effective tax rate for fiscal year 2018 would have been 25.0 percent.

An Act to Provide for Reconciliation Pursuant to Titles II and V of the Concurrent Resolution on the Budget for Fiscal Year 2018 (the "Act") was enacted on December 22, 2017. The Act included provisions that reduced the federal corporate income tax rate, created a territorial tax system with a one-time mandatory tax on previously deferred foreign earnings (i.e. transition tax), and changed certain business deductions including allowing for immediate expensing of certain qualified capital expenditures and limitations on deductions of interest expense. The permanent reduction to the U.S. federal corporate income tax rate from 35 percent to 21 percent was effective January 1, 2018. Based on the Company's interpretation of the Act, during fiscal year 2018, the Company recorded a provisional tax charge of $5.0 million for the transition tax and a provisional tax benefit of $74.6 million for the remeasurement of deferred tax assets and liabilities. The accounting for the income tax effects of the Act was completed by December 31, 2018. A discrete tax benefit of $0.2 million was recorded for the transition tax offset by a discrete tax charge of $0.2 million for the remeasurement of deferred tax assets and liabilities in the three months ended December 31, 2018. Under the Act, the transition tax is being paid over an eight year period beginning in fiscal year 2019.

Fiscal year 2019 income tax expense includes tax benefits of $1.8 million as a result of changes in the Company's prior year tax positions.